Cornwall's strategies range from thematic fundamental trades to trades that seek to profit from esoteric market inefficiencies. The one unifying characteristic virtually all of Cornwall's strategies share is that they are structured and implemented as highly asymmetric, positive skew trades—that is, trades in which the upside potential far exceeds the downside risk. One of these trades, a short bet on subprime mortgages, led to Mai, Ledley, and Hockett becoming key characters in Lewis's book. Although this particular trade was unusually profitable—Cornwall ultimately made about 80 times the initial premium they paid out for subprime default protection—it was entirely representative of the types of trades Cornwall seeks out.

Beginning in May 2011, Cornwall switched to a new fund structure open to outside investors. Through the years, Mai had encountered several outstanding trade opportunities that could easily accommodate far more capital than his family office could invest. In a few of those instances, he explored the possibility of raising outside investor money to participate in the trade idea, but decided the lag involved was too long. The catalyst that finally convinced Mai to restructure the fund to accommodate investors was born of the frustration of being unable to participate in a rare pure arbitrage opportunity in 2008 because he lacked sufficient assets.[1] Mai decided to open the fund to only a handful of like-minded, sophisticated investors with whom he could be reasonably transparent and share ideas, rather than seeking to maximize assets under management.

For the near nine-year period since its inception, Cornwall Capital has realized an average annual compounded net return of 40 percent (52 percent gross).[2] The annualized standard deviation has been relatively high at 32 percent (37 percent gross). Cornwall's Sharpe ratio of 1.12 (1.23 gross) represents very good performance based on this widely used return/risk measure, but greatly understates the true return/risk performance of the fund. Cornwall is the poster child for the inadequacy of the Sharpe ratio if applied to managers with non-normal return distributions. The crux of the problem is that the Sharpe ratio uses volatility as the proxy for risk. Because of the asymmetric design of its trades, Cornwall's volatility consists mostly of upside volatility. In other words, Cornwall's volatility is high because they have many instances of very large gains. However, I have yet to meet an investor who finds large gains to be a problem. The risk